

Top-Down Portfolio Construction

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Today's Agenda



Economic Indicators



Asset Sector Allocation



Security Breakdown and Allocation



Expected Returns of Securities



Metrics



Sources

→ Economic Indicators

Economic Outlook Summary

- **Economy in Transition:** Signs point to a **late expansion phase**, with slowing growth in GDP and employment.
- **Mixed Signals:** Rising jobless claims and weak consumer sentiment suggest a possible **slowdown ahead**.
- **Stabilizing Sectors:** Industrial production and retail sales show **resilience**, while **inflation remains slightly elevated**.
- **Market Sentiment:** Equities remain **optimistic**, but **manufacturing and housing** show signs of **underlying uncertainty**.
- **Outlook:** Data indicates a **slowing, not contracting** economy, potential for a **soft landing or mild downturn** in the near term.

Key Indicators

Indicator	Start	End
Consumer Sentiment Index	77.2%	57.0%
S&P 500 Index	\$5,035.69	\$5,611.85
Yield Curve (10Y-2Y Spread)	-0.33%	0.31%
Unemployment Rate	3.9%	4.2%
CPI (Inflation)	3.4%	2.4%

➔ Asset Sector Allocation

Asset Class	Percent Allocation	Dollar Allocation (in millions)
Equities	40%	\$40
Fixed Income	45%	\$45
Cash	15%	\$15
Portfolio	100%	\$100.00

- Reduced due to market uncertainty and weak sentiment.
- Balanced exposure, avoiding high volatility.
- Reflects slowing GDP and plateauing S&P 500.
- Defensive position as rates are expected to fall.
- Focus on income stability and low risk.
- Preserves flexibility and reduces volatility.
- Allows redeployment into undervalued assets.

→ Security Breakdown and Allocation

Security Name	Ticker	Portfolio Weight	Portfolio Weight in \$ (Millions)
Technology Select Sector SPDR Fund	XLK	10.0%	\$10.0
Health Care Select Sector SPDR Fund	XLV	12.0%	\$12.0
Utilities Select Sector SPDR Fund	XLU	16.0%	\$16.0
Consumer Discretionary Select Sector SPDR	XLY	2.0%	\$2.0
iShares Core U.S. Aggregate Bond ETF	AGG	45.0%	\$45.0
iShares 0–3 Month Treasury Bond ETF	SGOV	7.5%	\$7.5
JPMorgan Ultra-Short Income ETF	JPST	7.5%	\$7.5

Our \$100 million portfolio is allocated across seven ETFs, with weights based on our macro outlook. We've allocated 40% to equities, split among technology (10%), health care (12%), utilities (16%), and consumer discretionary (2%), reflecting a defensive bias. Fixed income makes up 45%, all in AGG, for broad bond exposure. The remaining 15% is split evenly between SGOV and JPST, providing short-term stability and liquidity.



Expected Returns of Securities

Security Name	Ticker	Beta	Risk Free Rate	Market Risk Premium	Expected Returns	Calculations
Technology Select Sector SPDR Fund	XLK	1.26	4.40	3.10	8.3	$=4.4 + (1.26 * 3.1)$
Health Care Select Sector SPDR Fund	XLV	0.61			6.3	$=4.4 + (0.61 * 3.1)$
Utilities Select Sector SPDR Fund	XLU	0.72			6.6	$=4.4 + (0.72 * 3.1)$
Consumer Discretionary Select Sector SPDR	XLY	1.28			8.4	$=4.4 + (1.28 * 3.1)$
iShares Core U.S. Aggregate Bond ETF	AGG	1.00			7.5	$=4.4 + (1 * 3.1)$
iShares 0–3 Month Treasury Bond ETF	SGOV	0.00			4.4	$=4.4 + (0 * 3.1)$
JPMorgan Ultra-Short Income ETF	JPST	0.05			4.6	$=4.4 + (0.05 * 3.1)$
Expected Market Returns		7.5				

We calculated expected returns using CAPM, based on each security's beta. With a 4.4% risk-free rate and a 3.1% market risk premium, higher-beta ETFs like XLK and XLY show stronger expected returns, while more stable sectors like XLV and XLU come in lower. Returns for AGG, SGOV, and JPST reflect their low-risk profiles and role in preserving capital.

Final Evaluation

Metric	Portfolio	S&P 500 Benchmark	Comment
Expected Return	6.9%	~7.5%	Slightly lower, acceptable for lower risk
Beta (Volatility)	0.80	1.00	Much less risky; less sensitive to market shocks

Conclusive Highlights of our Portfolio

- ✓ Balanced Risk-Return Profile
- ✓ Strong Fixed Income Allocation for Stability
- ✓ Sector Diversification within Equities
- ✓ Defensive and Late-Cycle Strategy
- ✓ Efficient Risk Management
- ✓ Yield-Optimized Core Holdings

Thank You!